

How to create financial advertising that sells

by Ogilvy & Mather

Ogilvy & Mather has created over \$100 million worth of advertising for clients in many financial fields—banking, insurance, investments, credit cards.

Here are twelve of the things we have learned.

1. The most important decision. How should you position your financial product or service? This is the most important decision you will make. It affects the way you conduct your business, as well as what you say in advertising.

Merrill Lynch is positioned as a total financial services center, not just a stockbroker.

American Express Travelers Cheques are positioned for domestic travel, as well as foreign.

The Fidelity Bank of Philadelphia is positioned as the bank that does the most to stretch your money.

The results of your campaign depend less on how your advertising is written than on how your product is positioned. It follows that positioning should be decided before the advertising is created.

Research can help. Look before you leap.



Consistency pays. The positioning for this American Express Card campaign is 10 years old. It won the 1973 David Ogilvy Award—given solely for success in sales.

2. Build a bond of trust. Any advertisement is likely to work better if readers believe it. In financial advertising it pays to build a bond of trust. This is because many financial services offer benefits that cannot be seen or measured for years, yet are vital to the customer's well-being.

Here are five ways to build trust:

• **Demonstrate your stability.** You are asking people to come forward with hundreds, even thousands, of dollars. Perhaps their entire life savings. Nobody wants to entrust his money to a bank or brokerage house that might fail. Your advertising can help build confidence in your stability.

When Merrill Lynch was still a private company, they didn't have to publish an annual report. But they published one anyway, and offered it in advertising.

Merrill Lynch's philosophy of "doing business in a goldfish bowl" suggested that they had nothing to hide. It paid dividends in goodwill and new business.

• **Find a spokesman your prospects will trust.** When Ogilvy & Mather was looking for a spokesman for New York's Bowery Savings Bank, we asked this question: "Who personifies New York at its best, and would be trusted instinctively by New Yorkers?"

Joe DiMaggio led the list by a wide margin and became The Bowery's spokesman. Within eight months, awareness of The Bowery's advertising increased 50 percent.

• **Be scrupulously honest.** In a commercial about their annual report, City Investing Company said: "Where we did well, we show you. And

where we didn't do so well, we show you that, too. People trust a company that tells the truth.

• **Show who is behind those granite walls.** It is easier to trust a human being than a faceless company. Investors, for example, want to know who is handling their money. Lionel D. Edie & Co., the investment advisory subsidiary of Merrill Lynch, showed their top investment advisors in their advertising. It helped establish person-to-person contact with dozens of prospective accounts.

• **Don't be cute.** People take their money seriously and are seldom disposed to trust it to a come-dian. Ogilvy & Mather has found that it pays to

Notes on corporate advertising to the financial community

Few security analysts or sophisticated investors will admit that advertising can affect their evaluation of a company. Ogilvy & Mather's research tells a different story.

If you are considering advertising to the financial community, here are five keys to success:

1. Be ready to make a long-term commitment—three to five years—or the money you spend will be wasted.

2. Give a candid indication of how you plan to grow in earnings per share. The people who recommend or buy your company's stock hate surprises.

3. Make sure your financial reports—and your advertising—are easy to understand. Financial experts will avoid a company whose communications are hard to decipher.

4. Measure your results. Be as hard-nosed about your advertising investment as any other investment you make.

5. Be different. Your advertising must set you apart from other corporations—or it will pass like a ship in the night.

leave whimsy to those who advertise whimsical products.

3. **Offer a unique benefit—and advertise it.** American Express is the only brand of travelers cheques which guarantees an emergency refund 24 hours a day, 365 days a year, anywhere in the continental U.S. Their advertisements never fail to mention this fact.

4. **Simplify your offer.** Like every other commercial bank in Philadelphia, The Fidelity Bank offered a schedule of reduced checking costs for customers who kept certain balances in their checking account or savings account. The idea was unwieldy and complicated to explain in advertising.

Unlike the other banks, Fidelity simplified its offer by advertising free checking for anyone who kept at least \$400 in a savings account.

Result: In just four months, Fidelity Bank quadrupled the number of customers in its free checking program—and enjoyed a healthy increase in savings deposits.

5. **Go on television.** There is a theory that television provides too much "waste circulation" to be efficient in reaching upper income groups. This theory has been proven false. The visibility and impact of television can more than offset the diversity of its audience.

We have used television effectively for all our financial clients.

6. **Find a unique symbol.** A distinctive and memorable visual symbol can give your advertising

ing a hook that will catch in your prospect's mind.

• **The Merrill Lynch bulls** symbolize the company's confidence in the long-term strength of the American economy.

• **The Nationwide blanket** symbolizes the complete coverage Nationwide can provide for your home, car, and family.

7. **Go first class.** It pays to give your service an image of quality. If your advertising looks cheap or ugly, prospects will assume that your service is shoddy.

8. **Unify your advertising.** Often a financial advertiser offers different services to different groups of people. Without a common theme, the advertising may seem to come from several small companies, rather than from one large one. That charging herd of bulls makes every Merrill Lynch advertisement work toward a common cause even when the services offered are different.

9. **Talk your customers' language.** Part of Joe DiMaggio's appeal to New Yorkers is that he's a "regular guy." He never talks in trade jargon never builds a wall of arcane verbiage around The Bowery's services.

By the end of his first year as spokesman, The Bowery's share of the growth in savings bank deposits jumped over 60 percent.

10. **Make sure people know you really want their business.** Many people are afraid of financial institutions. For example, they hesitate to ask for a loan out of fear of being turned down.

Fidelity Bank cut through this fear by announcing: "Fidelity Bank has \$10 million to lend by May 1." The money was gone in 60 days.

11. **Make the most of news.** We have found that financial advertising gets more readership when tied in with news.

But make sure you act fast. A Merrill Lynch advertisement on Phase Three controls was written, approved, set in type, and sent to newspapers within 12 hours of the newsbreak.

In the summer of 1971, many Americans abroad were unable to exchange their dollars for foreign currency because of an overnight devaluation. Immediately, Ogilvy & Mather people in London and Paris filmed interviews with Americans whose vacations had been saved by the American Express Card, which was still usable because charges on it are made in the local currency.

Within days, these interviews were on the air in television commercials. The number of people who rated the American Express Card as the "best general-purpose credit card" grew 40 percent faster than projections.

Merrill Lynch is bullish on America.



A distinctive symbol. Six weeks after this commercial went on the air, over 65 percent of the target audience could identify the firm that was bullish on America.

12. **Don't be afraid of long copy.** A financial commitment is intensely interesting to the person about to make it. Be sure to give your prospects plenty of information.

Research shows that although readership falls off rapidly up to fifty words, it drops very little between 50 and 500 words.

One of the best coupon advertisements for Merrill Lynch contained more than 1,145 words. "The more you tell, the more you sell."

How to integrate direct response into your marketing plan

If you have a new product or service, make sure your key prospects get the news ahead of the general public—in the mail.

And don't ignore your current customers. They are often your best prospects.

Financial clients of Ogilvy & Mather

American Express Card
American Express Travelers Cheques
American Express International Banking Corp.
The Bowery Savings Bank
City Investing Company
The Fidelity Bank
Merrill Lynch & Co., Inc.
Nationwide Insurance

In collaboration with Hodes-Daniel Advertising, Ogilvy & Mather's Direct Response Division offers financial marketers a unique combination of services.

Hodes-Daniel has specialized in financial direct marketing for 30 years. They can also computerize your mailing list, print your mailings, and send them out.

Thus you can now get all the marketing services you need from a single source. Which should mean greater speed, better coordination, and more efficient use of your marketing dollars.

Fidelity Bank has \$10 million to lend by May 1



Many people are afraid to ask a bank for money. Fidelity's direct approach made it easier to ask. Result: every cent of the money was gone in 60 days.

Invitation

Ogilvy & Mather has a comprehensive one-hour slide presentation on financial advertising. If you would like to see this presentation, please write on your company letterhead to any of these heads of Ogilvy & Mather offices: Andrew Kershaw in New York; Michael Turner in Houston; or Cy Schneider in Los Angeles.

Ogilvy & Mather

2 East 48th Street, New York, N.Y. 10017
2600 Two Shell Plaza, Houston, Texas 77002
5900 Wilshire Blvd., Los Angeles, Calif. 90036

How to Financial Advertising Ad by David Ogilvy
(<https://swiped.co/how-to-financial-advertising-ad-by-david-ogilvy>)
Swiped in March 2014
Ran 1974